

complaint

Mr A is unhappy that Millennium Insurance Company Limited voided (cancelled from the start) his rented home insurance policy and declined his claim for flood damage due to non-disclosure (not providing certain information).

background

Mr A's property was flooded causing significant damage to the ground floor level of the house and its contents. Mr A made a claim and loss adjusters were appointed to inspect the property. The adjuster concluded that due to a severe thunderstorm in the area, water ran off an adjacent agricultural field to the rear of Mr A's home flooding numerous properties.

Mr A was later notified by Millennium that it was not prepared to deal with the claim for flood damage, because at the time of renewal it felt that Mr A did not provide the correct information about certain points.

Mr A had previously been asked a couple of questions about the location of his property and the proximity to a watercourse/river. Mr A responded that his property was not in an area that was subject to flooding or near to a watercourse/river. However, Millennium concluded that there was a river around 130 metres away from Mr A's rental property. Therefore it declined the claim for the flood damage and voided his policy. Unhappy with this Mr A brought his complaint to this service.

Our adjudicator upheld the complaint. She concluded that the questions asked of Mr A were ambiguous – they did not define “area” or suggest what “subject to flooding” would mean to a member of the public. In addition our adjudicator also considered that the research provided by environmental agencies suggested that the location of the property did not place it in an extreme flood risk area or that it was at risk from rivers or the sea.

Millennium did not accept this. It stated that it is a fact that there is a watercourse within distance that most people would consider “near”, when considering geographical features such as this. Millennium also suggested that its staff appreciated the point being made about the word possible meanings of the word “near”, but this did not bar Mr A from answering the questions truthfully and accurately.

my findings

I have considered all of the available evidence and arguments from the outset to determine what is fair and reasonable in the circumstances of this complaint.

This service has always maintained that the onus is on an insurer to ensure it asks specific and clear questions to find out the relevant facts it needs to. In this case the main issue to decide is whether Millennium asked clear questions and if it did whether Mr A misrepresented his details by failing to take reasonable care when answering the questions.

In this case Mr A was asked a series of questions at renewal – but the ones specific to this complaint are:

“Are the premises in an area subject to hazardous weather conditions, flooding or an area subject to subsidence or landslide?”

“Are you near any rivers, quarries or watercourses?”

Mr A replied “No” to each question.

In relation to the first question, since Mr A purchased the property it has never been affected by flooding or any other adverse weather conditions. I have been led to believe that this flood incident was the first time that any property in the street has ever been affected. Mr A stated that neighbours who have lived on the same road for more than 40 years have confirmed that their properties have never previously been affected by flood.

Likewise in relation to the second question of a watercourse being near to the property, Mr A has not disputed that there is a small brook roughly 130 metres away and yes this could be considered a watercourse. However, the question is not clear and specific. “Near” applying the ordinary and everyday meaning is something that is a “short distance away” and what this means in terms of specific distance will differ greatly depending on the circumstances, and people will have their own thoughts on what it means to them.

Therefore, if Millennium needed to know how close Mr A lived to a quarry, river or watercourse (it suggests within correspondence within 250 metres as being critical) I would have expected it to ask a specific and clear question. I also note that the acceptance criteria it has for granting cover does not refer to rivers or watercourses.

In addition to this, and based on the findings of the loss adjuster, the flooding appears to have taken place in isolated locations around the area as a direct result of exceptional rainfall rather than because of rivers overflowing. Such one off conditions seem to me to be somewhat different to the usual flood risk considerations.

The usual environmental advice does not suggest the property to be in a flood risk area. It noted that the likelihood was “low”. In view of the details I have seen in relation to this case I am satisfied that Mr A took reasonable care when answering the questions asked. I find that the decision to void his policy and decline the claim was unreasonable.

The decision to decline the claim and to void the policy has had an impact on Mr A. In the circumstances of having his claim turned down and also having the policy being voided it is clear that this caused Mr A distress and inconvenience. In this case £200 is a reasonable amount in compensation for the problems caused.

my final decision

I uphold this complaint.

I require Millennium Insurance Company Limited to:

- reinstate Mr A's policy subject to the return of any premium that has been refunded;
- deal with the claim in line with the remaining terms and conditions of the policy;
- pay Mr A £200 for the distress and inconvenience of having his policy voided (this can be deducted from any premium payment required to reinstate the policy);
- remove any reference to the policy voidance from any internal and external databases.

I make no other award against Millennium Insurance Company Limited.

John Quinlan
ombudsman